

lar successes), Ed Heller was undoubtedly right. But as these smaller companies grow larger on the way to becoming suitable for conservative investment, Ed Heller's view might be tempered by that of another brilliant businessman who expressed serious doubts about the wisdom of investing in a company whose president was his close personal friend. This man's reason for lack of enthusiasm: "My friend is one of the most brilliant men I've ever known. He always has to be right. In a small company this may be fine. But as you grow, your men have to be right sometimes, too."

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*The first dimension of a conservative investment consists of outstanding managerial competence . . .*

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Here is an indication of the heart of the second dimension of a truly conservative investment: a corporate chief executive dedicated to long-range growth who has surrounded himself with and delegated considerable authority to an extremely competent team in charge of the various divisions and functions of the company. These people must be engaged not in an endless internal struggle for power but instead should be working together toward clearly outlined corporate goals. One of these goals, which is absolutely essential if an investment is to be a truly successful one, is that top management take the time to identify and train qualified and motivated juniors to succeed senior management whenever a replacement is necessary. In turn, at each level down through the chain of command, detailed attention should be paid to whether those at this level are doing the same thing for those one level below them.

Does this mean that a company that qualifies for truly conservative investing should promote only from within and